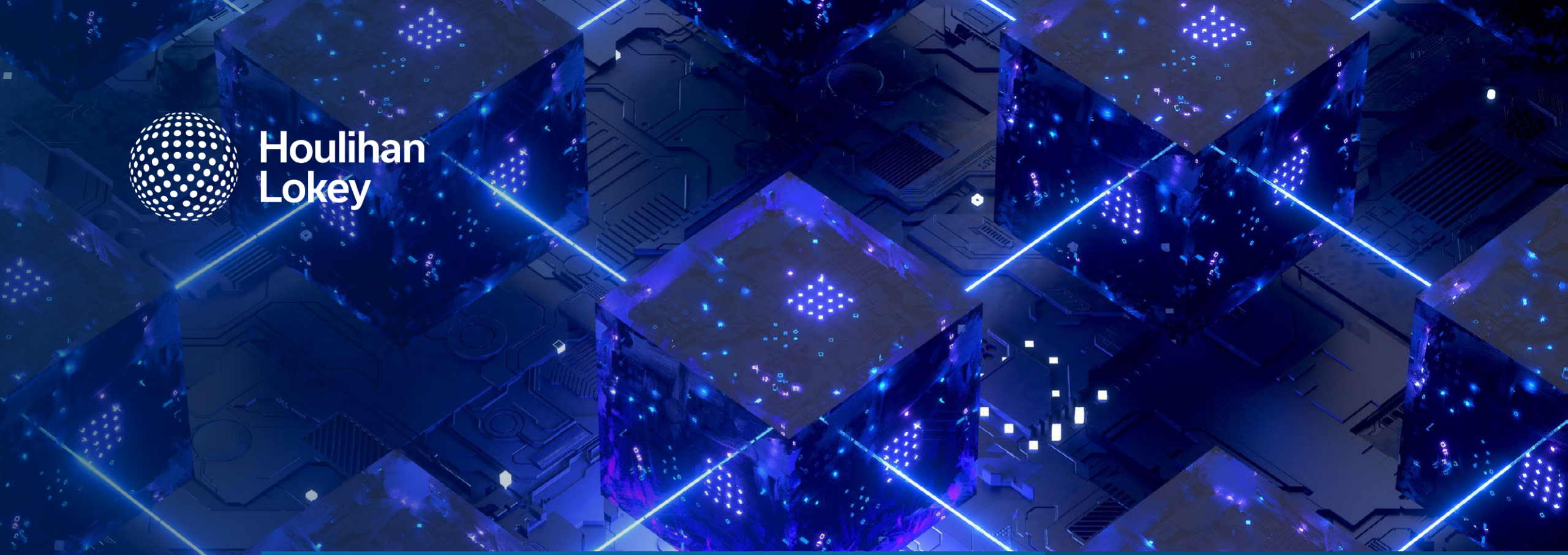


Houlihan Lokey

Digital Assets and Blockchain

November 2024

Digital Assets Market Update

The digital assets market is impacted by volatility, competition, and increasing institutional interest, as well as ongoing regulatory developments shaping its future.

Market Overview and Growth Drivers

- As of October 2024, the global digital assets market capitalization has increased by approximately 47% year-to-date, approximating $2.5 trillion. This growth has been accompanied by a normalization of Bitcoin (BTC) trading volumes, which are averaging 68% higher than those of last year.
- Flows from ETF have been the main driver of BTC returns this year. BTC has seen net inflows of $17.3 billion since January 2024, while Ethereum (ETH) ETFs have seen $460 million in net outflows since their launch.
- The correlation between digital assets and U.S. equities has risen, particularly during periods of significant macroeconomic events, such as the weaker-than-expected U.S. nonfarm payrolls (NFP) in August 2024. For cryptocurrencies, both one-month and three-month correlations between BTC/ETH and the S&P 500 have increased sharply, suggesting that macroeconomic conditions are driving crypto price action more than traditional crypto-specific factors.

Active Investors

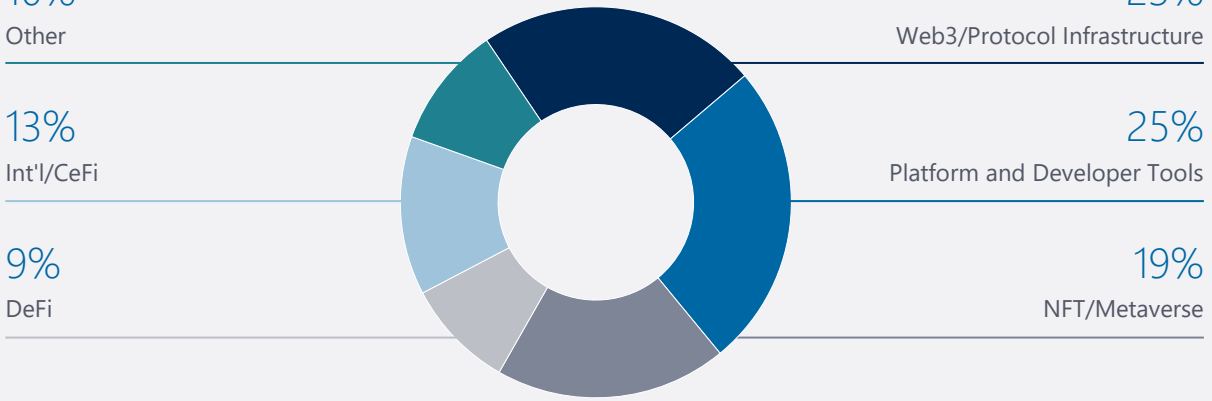
coinbase Ventures | NGC ventures | >|< DRAGONFLY | animoca | DIGITAL CURRENCY GROUP

BINANCE LABS | HASHKEY Capital | PANTERA | POLYCHAIN CAPITAL | ANDREESSEN HOROWITZ

Sources: Galaxy, PitchBook, Citi, other publicly available information.

Venture Capital Deal Count

By Category (Q2 2024)



Industry Trends

A Crowded Field	The digital assets market has seen significant price increases driven by central bank stimulus and the use of leverage, although volatility remains high. New entrants like Solana and Polygon offer faster transaction times and lower fees, intensifying competition with established blockchains like Ethereum.
Rise of Stablecoins	Stablecoins, especially Tether (USDT), have seen explosive growth, becoming a critical component of the crypto trading ecosystem, with $173 billion in circulation by early 2022. Even during periods of market correction, stablecoins continue to grow, providing a perceived safe haven during crypto volatility.
Long-Term Drivers	The long-term bullish outlook for digital assets is driven by its decentralized nature, enabling secure transactions without intermediaries and fostering innovations in decentralized finance (DeFi) and NFTs. However, market volatility, regulatory risks, and security concerns, such as blockchain hacks, present significant challenges to sustained growth
Regulatory Headwinds	Regulatory developments are a key factor influencing institutional adoption, with clearer frameworks potentially driving more investment, though restrictions in countries like China pose risks. The increasing centralization of Bitcoin holdings contrasts with the rapid growth of DeFi, which offers decentralized alternatives to traditional finance

Recent Development and Partnerships

Recent partnerships in digital assets focus on improving cross-border payments, enhancing security for stablecoins, and integrating blockchain with traditional finance.

Date	Companies	Purpose	Description
Oct. 4, 2024	FORGE, bitpanda	Product Enhancement	• Société Générale's subsidiary SG-FORGE and Bitpanda are collaborating to offer the EUR CoinVertible stablecoin (EURCV) across Europe. • This partnership aims to expand the adoption of regulated stablecoins, enabling cross-border payments and providing a secure digital currency in the region.
Oct. 3, 2024	BBVA, VISA	Market Expansion/ Diversification	• BBVA plans to launch its own stablecoin in 2025 in partnership with Visa Tokenized Asset Platform (VTAP), designed to facilitate the issuance and management of tokenized digital assets. • VTAP aims to enable interoperability across blockchain networks, enhancing transaction efficiency and security for businesses and financial institutions.
Oct. 3, 2024	ripple, Cardano, Mercado Bitcoin	Market Expansion	• Ripple has expanded its presence in Brazil by partnering with Mercado Bitcoin to offer cross-border payment solutions between Brazil and Portugal. Meanwhile, large investors in Ripple and Cardano are exploring RCO Finance, expecting high-growth potential, while Ripple continues to gain traction in Latin America with plans for a stablecoin launch and partnerships with financial institutions.
Oct. 2, 2024	JAM, zodia CUSTODY	Custody Selection	• Jacobi Asset Management has chosen Zodia Custody to provide custodial services for its spot Bitcoin ETF. This partnership aims to ensure secure storage, regulatory compliance, and better risk management for institutional investors accessing Jacobi's Bitcoin ETF on Euronext Amsterdam.
Oct. 2, 2024	STATE STREET, VanEck	Product Diversification	• State Street Corp. announced the extension of its servicing agreement with VanEck, which now includes full-service support for VanEck's digital assets ETFs. • The partnership aims to strengthen VanEck's ETF offerings, with State Street also appointing Vanessa Fernandes to lead their digital assets strategy.
Oct. 1, 2024	BitGo, EMURGO, Anzens, ENCRYPTUS	Custody Selection	• BitGo will offer custodial services for the USDA stablecoin, issued on the Cardano blockchain, as part of a partnership with Anzens and EMURGO. This collaboration aims to enhance the security and functionality of USDA, as it makes a comeback after a hiatus, with a focus on bridging traditional finance and crypto ecosystems.
Sept. 26, 2024	Aktionariat, TAURUS	Market Expansion	• Swiss firms Aktionariat AG and Taurus S.A. are partnering to increase liquidity for tokenized small and medium enterprises (SMEs) by enabling their shares to trade on Taurus' TDX platform. The partnership aims to boost access to digital securities and enhance financing options for SMEs.
Sept. 24, 2024	KLDX, ASIANEXT	Market Entrance	• Malaysia's KLDX has partnered with Singapore's AsiaNext to develop a cross-border digital assets ecosystem. The collaboration focuses on enhancing the infrastructure for digital assets trading and accessibility across Southeast Asia.
Sept. 24, 2024	KOR PROTOCOLS, bitsCrunch	Security Enhancement	• KOR Protocol, a decentralized platform focused on intellectual property (IP) rights, has partnered with bitsCrunch, a data analytics company specializing in blockchain insights, to enhance IP protection. This collaboration leverages AI-powered forensics to prevent fraud, track royalties, and manage digital assets across multiple chains, empowering creators with greater security and transparency in the NFT space.
Sept. 19, 2024	TAURUS, Qatar Financial Centre	Market Entrance	• Taurus has partnered with the Qatar Financial Centre Authority to provide digital assets solutions in the Middle East through the QFC Digital Assets Lab. This collaboration aims to foster innovation in tokenization and digital assets, positioning Qatar as a leader in the digital economy.

Sources: Bloomberg, other publicly available information.

Recent Development and Partnerships (cont.)

Recent digital assets partnerships focus on expanding market access, enhancing custody services, and fostering blockchain innovation. These collaborations reflect a strong institutional push to integrate blockchain with traditional finance through education and tokenization initiatives.

Date	Companies	Purpose	Description
Sept. 5, 2024	BitGo, SK telecom	Market Expansion	• BitGo partnered with Hana Financial and SK Telecom to enhance South Korea's crypto custody services. • Hana Financial acquired a 25% stake in BitGo Korea, while SK Telecom took a 10% stake, both supporting BitGo's South Korean expansion and crypto custody development.
Sept. 3, 2024	GREENX, Sharia Digital Technologies	Regional Expansion	• GreenX partnered with Sharia Digital Technologies to enter the Middle Eastern market, establishing Dubai as a regional hub. • The collaboration will support Sharia-compliant digital assets exchange services.
Aug. 19, 2024	HASHKEY GROUP, CATIZEN	Web3 Gaming Infrastructure	• HashKey partnered with Catizen to develop digital entertainment on the TON blockchain. • The partnership will expand HashKey's digital assets services to Catizen's user base and includes initiatives for airdrops and social responsibility.
Aug. 19, 2024	RAKBANK, bitpanda	Digital Assets Integration	• RAKBANK partnered with Bitpanda to develop a digital assets management platform for UAE residents, contingent on approval from the UAE Central Bank. • The platform aims to integrate digital assets into banking services, providing access to a range of digital assets use cases.
Aug. 12, 2024	copper	Institutional Services	• Copper expanded its services to include noncustodial BTC staking through a partnership with Core Foundation. • This allows institutional clients to stake Bitcoin directly from Copper accounts, enhancing institutional engagement with digital assets.
Aug. 8, 2024	ripple	Market Expansion	• Ripple Labs partnered with the DIFC Innovation Hub to boost blockchain adoption in the MEASA region. • Ripple will allocate one billion XRP tokens to facilitate app development on the XRP Ledger, supporting FinTech growth and technological talent in the UAE.
Aug. 2, 2024	ripple, OpenEden	Tokenized Treasury Bills	• Ripple partnered with OpenEden to bring tokenized U.S. Treasury bills to the XRP Ledger. • Ripple invested $10 million in this initiative, which aims to integrate traditional assets into DeFi ecosystems through tokenization.
July 18, 2024	Chainlink	Digital Assets Innovation	• Chainlink introduced the Digital Assets Sandbox (DAS) to accelerate digital assets adoption in capital markets. • The sandbox offers a secure environment for institutions to explore digital assets, with features like bond tokenization, supported by Chainlink Labs' expertise.
July 11, 2024	nuvei, mastercard	Product Launch	• Nuvei and Mastercard launched an off-ramping solution for European consumers to convert digital assets into fiat currency using debit, credit, and prepaid cards. • The solution is integrated into Nuvei's payment platform to enhance user experience.
July 10, 2024	TAIPEI TECH	Blockchain Education	• Tether partnered with the National Taipei University of Technology to offer a blockchain and digital assets educational program, covering technical, legal, and ethical aspects. • This initiative aims to foster talent in blockchain technology and digital assets fields.

Sources: Bloomberg, other publicly available information.

Featured Recent VC Funding Rounds in Web3 Segment

VC funding trends show a shift toward Web3 projects focused on the metaverse, decentralized social platforms, and blockchain infrastructure.

Date	Target	Company Description	Transaction Type	Amount Raised ($M)	Lead Investor(s)	Category
June 24, 2024	HYPERSONIC LABORATORIES	Developers of HELIX, a hyper-realistic metaverse sandbox game.	Late-Stage VC	$10.9	Play Ventures	Metaverse and Gaming
June 6, 2024	THE SANDBOX	A virtual metaverse where players can create, own, and monetize their gaming experiences using nonfungible tokens (NFTs) and blockchain technology.	Late-Stage VC	$20.0	Animoca Brands, Ash Park Capital	Metaverse and Gaming
May 28, 2024	GAIANET	A decentralized platform using AI to support intelligent, self-improving applications.	Pre-Seed/Seed VC	$10.0	N/A	DePINs and Hardware
May 21, 2024	farcaster	A decentralized social network protocol designed to give users more control over their identity, data, and relationships within the platform.	Early-Stage VC	$150.0	Paradigm	Content and Social
May 14, 2024	Polymarket	A decentralized information markets platform that allows users to speculate on real-world events by trading in a prediction market format.	Late-Stage VC	$45.0	Founders Fund, Vitalik Buterin	Enablement Platforms and Marketplaces
May 11, 2024	SPACENATION	A Web3 space opera MMORPG blending play-for-fun with play-to-earn mechanics.	Late-Stage VC	$50.0	N/A	Metaverse and Gaming
April 11, 2024	uplink	A decentralized platform aiming to democratize internet access through DePIN networks.	Late-Stage VC	$10.0	Framework Ventures	DePINs and Hardware
April 2, 2024	IoTeX	A decentralized platform connecting smart devices to blockchains for real-world data.	Late-Stage VC	$50.0	N/A	DePINs and Hardware
April 1, 2024		A Web3 metaverse and gaming platform utilizing blockchain technology.	Early-Stage VC	$60.0	Maven 11, Paper Ventures	Metaverse and Gaming

Sources: PitchBook, other publicly available information.

Featured Recent VC Funding Rounds in Blockchain Network Segment

VC funding in blockchain networks is fueling growth in scalability solutions, with a focus on Layer 1 and Layer 2 technologies, zero-knowledge processing, and infrastructure to enhance transaction efficiency and security in decentralized applications.

Date	Target	Company Description	Transaction Type	Amount Raised ($M)	Lead Investor(s)	Category
June 27, 2024		A blockchain platform focused on real-time transaction processing and scaling Ethereum.	Pre-Seed/Seed VC	$20.0	Dragonfly (San Francisco)	Layer 2 and Scalability
June 26, 2024	conduit	A rollups-as-a-service platform for scaling and deploying blockchain applications.	Early-Stage VC	$37.0	Haun Ventures, Paradigm (Crypto Fund)	Layer 2 and Scalability
June 6, 2024	LIGHTLINK.	A Layer 2 Ethereum blockchain for gasless transactions, used in metaverse and NFTs.	Pre-Seed/Seed VC	$11.5	Magnolia Quality Development, T&B Media Global	Layer 2 and Scalability
June 4, 2024	avail	Blockchain infrastructure provider specializing in Layer 1 solutions for scaling decentralized applications.	Early-Stage VC	$43.0	Dragonfly (San Francisco), Founders Fund	Layer 1
May 18, 2024		A decentralized Layer 1 blockchain platform built on the Cosmos SDK that utilizes Proof of Liquidity consensus.	Early-Stage VC	$100.0	Brevan Howard Asset Management, Framework Ventures	Layer 1
May 14, 2024		A Layer 2 Ethereum scaling solution with a decentralized sequencer network.	Pre-Seed/Seed VC	$19.3	Dragonfly (San Francisco)	Layer 2 and Scalability
May 8, 2024	lagrange	Specializes in zero-knowledge coprocessing for blockchain scalability.	Pre-Seed/Seed VC	$13.2	Founders Fund	Layer 2 and Scalability
May 7, 2024	Botanix	Develops Bitcoin-native Layer 2 solutions for DeFi applications.	Pre-Seed/Seed VC	$11.5	N/A	Layer 2 and Scalability
April 9, 2024	MONAD	A blockchain infrastructure company focused on building high-performance decentralized systems and aims to optimize blockchain technology, improving its scalability, security, and speed.	Early-Stage VC	$225.0	Paradigm (Crypto Fund)	Layer 1

Sources: PitchBook, other publicly available information.

Featured Recent VC Funding Rounds in Access, DeFi, and Infrastructure Tool Segment

VC funding shows strong interest in expanding crypto liquidity services, enhancing cross-border finance, and developing secure decentralized financial tools, indicating a push towards broader adoption and institutional integration of blockchain solutions.

Date	Target	Company Description	Transaction Type	Amount Raised ($M)	Lead Investor(s)	Segment	Category
June 26, 2024	TDMM	A market-making firm offering liquidity services to over 200 crypto projects.	Late-Stage VC	$75.0	Anthony Scaramucci, Blockchain Founders Fund	Infrastructure and Developer Tools	Institutional Services
June 6, 2024	TradeAlgo	A research and data tools platform offering analytics for blockchain and decentralized finance.	Early-Stage VC	$41.8	N/A	Access	Research and Data Tools
June 5, 2024		A crypto-fiat FinTech platform enhancing cross-border trade and financial services.	Late-Stage VC	$18.8	N/A	Access	Exchanges, Wallets, and Crypto Financial Services
May 30, 2024	Babylon	A DeFi platform for lending, borrowing, and yield generation services.	Early-Stage VC	$70.0	Bullish Capital, Paradigm (Crypto Fund), Polychain Capital	DeFi	Lending, Borrowing and Yield Generation
May 8, 2024	ARBELOS MARKETS	Provides liquidity and infrastructure for crypto derivatives trading.	Pre-Seed/Seed VC	$56.0	Dragonfly Capital	Infrastructure and Developer Tools	Institutional Services
April 17, 2024	fintopio	A Web3 company providing a noncustodial crypto wallet integrated with Telegram.	Pre-Seed/Seed VC	$10.0	N/A	Access	Exchanges, Wallets, and Crypto Financial Services
April 17, 2024	Centrifuge	A DeFi platform for tokenizing real-world assets for decentralized lending.	Late-Stage VC	$15.0	Greenfield Capital, ParaFi Capital	DeFi	Lending, Borrowing, and Yield Generation
April 10, 2024	SORTIUM	A Web3 and AI platform for creating 3D assets, mainly for gaming and entertainment.	Pre-Seed/Seed VC	$12.0	Signum Growth Capital	Infrastructure and Developer Tools	Development Platforms
April 4, 2024	INTERLAY	A DeFi platform enabling cross-chain Bitcoin usage in decentralized applications.	Late-Stage VC	$10.0	N/A	DeFi	Lending, Borrowing, and Yield Generation
April 2, 2024	agora	A blockchain-based platform offering secure, transparent voting solutions.	Pre-Seed/Seed VC	$12.0	Dragonfly (San Francisco)	Infrastructure and Developer Tools	Institutional Services

Sources: PitchBook, other publicly available information.

Blockchain Competitor Landscape

The fragmentation in the competitor landscape illustrates the complexity of the digital assets space, as companies target specific niches to address varying market needs.

Participants

Exchange and Broker	BINANCE	coinbase	Robinhood	VOYAGER	nexo
Blockchain Platforms	ethereum	SOLANA	polygon	Polkadot.	
Centralized Crypto Lenders	BlockFi	Celsius	BINANCE	Ledn	nexo
Decentralized Crypto Lenders	Compound	AAVE	MAKER		
Crypto Custody	GEMINI	Ledger	BitGo	NYDIG	
Decentralized Exchanges	UNISWAP	Curve	PancakeSwap	dYdX	
Payment Ecosystem/Wallet	METAMASK	PAXOS	CIRCLE	argent	
NFT Market Place	OpenSea	Axie Infinity	NBA Top Shot	Rarible	
Crypto Miners	MARATHON DIGITAL HOLDINGS	HUT 8	RIOT	HIVE	
Analysis	Chainalysis	ELLIPTIC	Coinfirm	coinbase Analytics	
Retailer Payment	PayPal	Square	flexa	bakkt	

Sources: Morgan Stanley, public domain.

Leading Independent, Global Advisory Firm

Corporate Finance

2023 M&A Advisory Rankings
All Global Transactions

	Advisor	Deals
1	**Houlihan Lokey**	**352**
2	Rothschild & Co	349
3	Goldman Sachs & Co	300
3	JP Morgan	300
5	Morgan Stanley	253

Source: LSEG (formerly Refinitiv).
Excludes accounting firms and brokers.

No. 1
Global M&A Advisor

Leading
Capital Markets Advisor Raising Approx. $25 Billion Over the Past Two Years

Financial and Valuation Advisory

1999–2023 Global M&A
Fairness Advisory Rankings

	Advisor	Deals
1	**Houlihan Lokey**	**1,247**
2	JP Morgan	1,035
3	Duff & Phelps, A Kroll Business	977
4	UBS	884
5	Morgan Stanley	716

Source: LSEG (formerly Refinitiv).
Announced or completed transactions.

No. 1
Global M&A Fairness Opinion Advisor Over the Past 25 Years

2,000+
Annual Valuation Engagements

Financial Restructuring

2023 Global Distressed Debt &
Bankruptcy Restructuring Rankings

	Advisor	Deals
1	**Houlihan Lokey**	**73**
2	PJT Partners Inc	64
3	Rothschild & Co	51
4	Lazard	37
5	Evercore Partners	27

Source: LSEG (formerly Refinitiv).

No. 1
Global Restructuring Advisor

$3.5
Trillion of Aggregate Transaction Value Completed

Financial Sponsors Coverage

2023 Most Active Investment Banks to
Private Equity – Globally

	Advisor	Deals
1	**Houlihan Lokey**	**217**
2	Lincoln International	156
3	William Blair & Co	112
4	Lazard	96
5	Raymond James Financial	85

Source: PitchBook. Excludes accounting firms and brokers.

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Please reach out to us to schedule a call to discuss this quarter's market update or to explore how we can serve your business needs.

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